

# Africa's Mineral Wealth

## Cobalt, Lithium, Gold, and the Battle for the Energy Transition's Raw Materials

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### Executive Summary

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Africa sits at the geological epicentre of the battery-materials revolution yet captures almost none of the value created from its own subsoil. The Democratic Republic of Congo (DRC) supplies the majority of the world's cobalt, while the continent holds significant hard-rock lithium deposits alongside copper, platinum group metals, and rare earths. However, the processing and refining chokepoint remains firmly in Chinese hands, meaning African ore leaves the continent as raw concentrate and returns — if at all — as finished battery chemicals priced by foreign intermediaries. The contest between China's entrenched supply-chain dominance and Western alliance efforts to reshore critical-mineral processing is now the defining industrial-geopolitical confrontation of the 2020s, and Africa is its principal battleground. This brief assesses the structural landscape, the Chinese processing monopoly, the Western counter-mobilisation, and the outlook for African value capture.

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### 1. Africa's Cobalt and Lithium Endowment: The Raw-Material Foundation

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Africa's position in the global battery supply chain begins with geological endowment of exceptional concentration. Congo holds half of the world's cobalt reserves, and in 2016 the DRC mined 54 percent of the 123,000 tonnes of cobalt produced worldwide — a share that has remained dominant in subsequent years as electric vehicle proliferation intensified demand for the mineral component of lithium-ion batteries CNA[2018-02-02].

Lithium supply comes from two primary sources globally: hard-rock spodumene, mined largely in Australia and parts of Africa, and lithium-rich brine extracted from underground salt flats in South America. In 2025, Australia accounted for approximately 31 percent of mined lithium output, with African hard-rock deposits constituting a growing share of the remaining supply CNA[2026-03-16].

The strategic minerals required for the low-carbon energy transition — including aluminium, copper, neodymium in permanent magnet motors, cobalt, and lithium — are found in a limited number of countries. Critically, excluding cobalt and lithium, no single country holds more than a third of world reserves of any given strategic mineral, making the concentration of cobalt and lithium particularly anomalous and strategically consequential [RAG: CLIMATE\_RAG — IPCC climate transition and energy systems analysis]. The same analysis notes that reliance on these minerals has raised serious questions about supply chain disruptions constraining a low-carbon energy system transition, including environmental damage at extraction sites [RAG: CLIMATE\_RAG — IPCC climate transition and energy systems analysis].

Demand pressure continues to build. The global EV fleet reached approximately 13.6 million new units in 2023, representing around 14 percent of global vehicle sales and almost 17 percent of passenger car sales. While 94 percent of new EV sales were concentrated in China, OECD Europe, and the United States, the absolute volume of battery-material demand they generate flows directly back to African mines [RAG: OIL\_ENERGY\_RAG — OPEC World Oil Outlook 2024, p.133].

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## 2. The Chinese Processing Monopoly: Where African Ore Loses Its Value

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The most consequential structural reality in the Africa minerals story is not where ore is dug from the ground but where it is converted into usable battery-grade chemicals. The conversion of hard-rock lithium to chemicals outside of China is minimal — this is where the most serious power and capacity imbalance in the entire supply chain sits, and it persists regardless of which company holds an offtake agreement or equity stake in an African mine CNA[2026-03-16].

The practical consequence is a captive pricing arrangement. Automakers and battery firms that have moved upstream — acquiring mine offtakes and equity stakes to secure supply — have found that securing the ore does not resolve the bottleneck. Counterparties can and have invoked contract penalty clauses and sold product at higher spot prices, exposing downstream buyers to supply disruptions they believed their upstream investments would prevent CNA[2026-03-16]. The refining chokepoint transforms African geological wealth into a Chinese industrial asset.

China's approach to securing this dominance combines commercial investment with diplomatic statecraft. Trade with resource-rich Africa exploded over the preceding decade as China fed its industrial machine, with African demand for Chinese manufactured products forming the counter-flow CNA[2015-11-25]. Chinese firms in Africa have faced criticism over governance and rights concerns, with the EU characterising Beijing's approach as "cheque book" diplomacy that trades financial support for resource access without demanding transparency or governance reform CNA[2015-11-25].

At the multilateral level, Beijing has framed its mineral engagement as a development partnership. At a G20 minerals forum, China pledged to "better safeguard the interests of developing countries and promote mutually beneficial cooperation and peaceful use of key minerals," announcing a framework promising green mining, research-and-development incubation platforms, and WTO-aligned trade facilitation CNA[2025-12-01]. Analysts have assessed this framework candidly: "China has every reason to want to extend its dominance of the global supply chain" CNA[2025-12-01]. Past precedent — including 2023 export controls on gallium and germanium deployed as geopolitical leverage — demonstrates that Beijing treats mineral supply as a strategic instrument, not merely a commercial one CNA[2025-12-01].

Figures compiled by the European Commission indicate that approximately 70 percent of refined lithium — the battery-chemical feedstock derived in significant part from African ore — passes through Chinese refining capacity FT[2025-11-20]. This single statistic encapsulates the value-capture problem facing Africa: geological endowment does not translate into industrial revenue when processing is monopolised by a third party.

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## 3. The Western Counter-Mobilisation: Alliance Diplomacy and the Processing Gap

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Recognition that Chinese processing dominance constitutes a systemic vulnerability has triggered a wave of alliance-level responses from the United States, the European Union, Japan, and allied partners. The strategic framing in Western capitals increasingly invokes the 1970s oil shock as the apt historical

analogy: "the nightmare we had in the 1970s for oil" is now being applied to critical minerals FT[2025-12-04].

The United States has pursued bilateral critical minerals agreements at pace. In October 2025 President Trump and Australian Prime Minister Albanese signed a critical minerals deal framed as an US\$8.5 billion pipeline ready to execute, with both governments committing US\$1 billion each over six months for joint projects CNA[2025-10-21]. The broader US effort — led in part by Vice President Vance — seeks to form a critical minerals trade architecture with allied partners including Japan, explicitly designed to counter Chinese supply-chain dominance FT[2026-02-07].

For Africa specifically, the US brokered engagement has been complicated by ongoing DRC-Rwanda tensions. A US-brokered peace accord involving the DRC and Rwanda — whose border region is directly implicated in conflict mineral flows — was signed in mid-2025, with Trump's Africa adviser and son-in-law serving as facilitators FT[2025-07-03]. The mineral dimension of DRC stabilisation is explicit: carmakers such as Volkswagen have demanded supply-chain assurances that no child labour was used in cobalt sourcing, with blockchain-based traceability schemes piloted to track Congo cobalt from mine to mobile device CNA[2018-02-02].

The European Union has moved on stockpiling and procurement coordination. Brussels has announced plans to co-ordinate the purchase and stockpiling of critical minerals to prevent a repeat of energy dependency, targeting coverage of one-fifth of EU demand across materials from lithium to the rare-earth magnets essential for EV motors and wind turbines FT[2025-11-20]. Alongside this, the Commission unveiled a critical minerals plan with tighter procurement rules, state-backed grant mechanisms, and a December 2025 legislative deadline FT[2025-12-04].

Japan has embedded critical minerals supply diversification into its sovereign fiscal framework. The FY2026 budget under the GX Economy Transition Bonds programme increased related allocations for diversifying supply sources of critical minerals, domestic development, and recycling by 28 billion yen relative to the FY2025 initial budget [RAG: JAPAN\_RAG — Japan Ministry of Finance FY2026 Budget Overview]. This signals institutional recognition that mineral supply security is a permanent structural investment priority, not a cyclical hedge.

Anglo American, with its deep South African platinum group metals exposure, has invested in building out the supply chain for platinum and rhodium, which are critical for catalytic converters and hydrogen fuel cells and represent Africa's other major contribution to the clean-energy materials complex FT[2025-04-26]. US Geological Survey analysis has explicitly linked US competitiveness in EVs, electronics, and computing to the resilience of these supply chains FT[2025-04-26].

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## 4. Africa's Value-Capture Problem: Governance, Processing, and the Path to Industrialisation

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The central challenge for Africa is converting geological endowment into industrial capacity. The structural barrier is not geological — reserves are vast and well-documented — but institutional: the absence of domestic processing infrastructure, the governance deficits that deter long-horizon capital commitment, and the accumulated advantage of Chinese processing investment that has been building for two decades.

The DRC's experience with cobalt illustrates the tension precisely. Congo holds half the world's cobalt reserves and has historically mined more than half of global output, yet the economic returns have been captured primarily at the refining and manufacturing stages — both of which occur outside Africa. Traceability and governance initiatives, including blockchain pilot schemes designed to eliminate child labour from the cobalt supply chain, have been driven by external consumer-market pressure rather than

domestic regulatory capacity CNA[2018-02-02].

Brain drain compounds the governance challenge. South Africa and other African nations have experienced sustained human capital flight — trained professionals including engineers and scientists leave for higher-wage markets, reducing the technical workforce available to build and operate processing facilities [RAG: EDUCATION\_RAG — UNESCO Global Education Monitoring Reports]. Building the engineering capacity to operate battery-grade chemical refineries is a generational undertaking, not a project-level intervention.

The climate transition creates a time pressure. A low-carbon energy system transition will increase demand for strategic minerals across wind turbines, photovoltaic cells, and batteries, and supply chain disruptions arising from geographic concentration of processing represent one of the primary risks identified in the transition literature [RAG: CLIMATE\_RAG — IPCC climate transition and energy systems analysis]. Africa faces a closing window: if Western governments and their private-sector partners do not build processing capacity on the continent in the near term, Chinese refining infrastructure will have locked in its positional advantage before alternative supply chains are established.

Malaysia's experience offers an instructive parallel. The country supplies 13 percent of worldwide critical mineral demand and is building an integrated rare earth ecosystem — from mining and processing through to magnet production — with government projections of US\$3 billion in super-magnet revenue by 2030 CNA[2025-08-21]. The integrated-ecosystem model — rather than raw-mineral export — is the value-capture template African governments are being urged to replicate. The question is whether the capital, governance, and technical capacity to execute that model can be assembled before the critical window closes.

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## Outlook

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Three dynamics will determine Africa's position in the battery supply chain over the next five years.

First, the processing race. Western alliance efforts to build lithium and cobalt chemical conversion capacity outside China are accelerating, but converting intention into operating refineries takes four to seven years under normal permitting and construction timelines. Unless African governments offer explicit incentive frameworks and clear offtake guarantees, new processing investment will default to Australia, Canada, or allied OECD jurisdictions rather than to the continent where the ore originates.

Second, the governance premium. Supply chain traceability — driven by consumer-market ESG requirements and legislative mandates in the EU and US — is becoming a commercial prerequisite for cobalt and lithium sourcing. Producers who can demonstrate clean, traceable, child-labour-free supply chains will command access to Western battery manufacturer contracts. This creates an incentive for governance reform that is commercial rather than merely normative.

Third, Chinese strategic persistence. Beijing's mineral diplomacy framework, its processing infrastructure lead, and its willingness to use export controls as leverage mean that Chinese dominance of the refining chokepoint will not yield to market forces alone. Western alliance capital — the US-Australia US\$8.5 billion pipeline CNA[2025-10-21], the EU stockpiling mechanism, Japan's GX bond allocations — will need to be deployed with strategic discipline if it is to shift the structural balance.

Africa holds the geological keys to the clean-energy transition. Whether it unlocks the industrial rewards of that endowment, or watches them flow to processors in Guangzhou and Shanghai, is the pivotal resource-governance question of the decade.

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R337 | All figures sourced from CivilisationOS RAG corpus.